

Reflective Practice: Decision Making and Problem Solving

Decision Making: Choosing a Five-Year Fixed-Rate Mortgage

One important decision I made was choosing the type of mortgage to take when purchasing my first home in 2022. As a first-time buyer, I had limited knowledge of mortgages and found the different rates, terms and products difficult to understand. I also had other responsibilities and limited time to independently compare deals. My partner and I therefore used a mortgage broker, who searched the market and found us a five-year fixed-rate mortgage at approximately 1.3%. At the time, this seemed like a very good rate. My main reason for preferring the five-year fixed option over a variable rate was the security it offered. Knowing our monthly payment would remain predictable gave me peace of mind. Although I was happy with the decision, most of the comparison was carried out by the broker. My own reasoning was mainly that the rate was attractive and fixing it for five years felt like the safest option.

If I could revisit this decision using what I have learned from the module, I would take a more active and systematic approach. Halpern (2014) emphasises clearly identifying a decision, considering alternatives, gathering relevant information and evaluating possible consequences. I would first reconsider how I framed the decision. Rather than asking whether I should secure a good rate for five years, I would ask: *Which mortgage provides the best balance between affordability, payment security, flexibility and financial value for our circumstances?* My original framing placed security at the centre from the beginning, potentially favouring the fixed mortgage before I had fully considered the alternatives. This is important because Tversky and Kahneman (1981) demonstrated that how choices are framed can influence preferences.

I would still use a mortgage broker because seeking expert advice was sensible given my limited knowledge. However, rather than relying mainly on the recommended product, I would ask the broker to compare several realistic alternatives, including shorter fixed terms, the five-year fix and a suitable variable-rate mortgage. Expected Utility Theory considers possible outcomes, their probabilities and the utility attached to them when making decisions under uncertainty (von Neumann & Morgenstern, 1944). I could therefore consider different interest-rate scenarios. If rates increased, the five-year fix would maintain predictable repayments, whereas a variable mortgage could become more expensive. If rates decreased, a variable mortgage could offer savings while the fixed mortgage would prevent me from benefiting. I could then consider both how likely I believed these outcomes to be and how much each consequence mattered to me.

Importantly, my preference for predictable repayments was not necessarily irrational because the value attached to outcomes is subjective. As a first-time buyer, financial stability had considerable personal value. However, systematically considering the alternatives would help me distinguish between choosing what simply *felt* safest and deciding that security genuinely outweighed the disadvantages of fixing the rate. Expected Utility Theory also has limitations in this situation because the probabilities of future interest-rate movements could not be known with certainty. My estimates would therefore still depend partly on judgement and the information available at the time. A structured method could improve my reasoning without making the future predictable or guaranteeing the objectively “best” choice.

I would also consider the influence of emotion. Lerner et al. (2015) demonstrate that emotions can systematically affect judgement and decision making. My desire for peace of mind may have increased the importance I placed on avoiding higher future repayments. Rather than attempting to remove emotion, I would acknowledge its influence and consider it alongside financial evidence. My original approach was relatively intuitive and externally guided, whereas the module-informed approach would make me a more active participant in evaluating the alternatives.

I may ultimately have chosen the same five-year fixed mortgage. The improvement would therefore be in the quality of my reasoning rather than necessarily producing a different outcome. I would also avoid judging the decision according to what subsequently happened to interest rates, as knowing an outcome can make it appear more predictable than it originally was (Fischhoff, 1975). A good decision under uncertainty cannot guarantee the most favourable eventual outcome. Overall, the module-informed approach would make my reasoning more systematic and transparent while still recognising the personal value I placed on financial security.

Problem Solving: Managing University, Work and Family Responsibilities

A significant problem I have experienced has been managing an online university degree while working full-time and raising three young children. Initially, I found it difficult to balance university work with my existing responsibilities. Online learning required me to organise my own study time, but work and family responsibilities often took priority. Larger assignments were particularly difficult because finding long periods of uninterrupted time during the week was unrealistic. I also tended to view an assignment as one large task, which could make the workload feel overwhelming. Over time, I developed a more systematic approach. I began breaking assignments into smaller parts that I could work through each day and completing the majority of substantial university work at weekends, when I generally had greater flexibility. This has made my workload more manageable, although unexpected demands can still disrupt my plans.

If I could return to the beginning of my degree with my current understanding of problem solving, I would first represent the problem more clearly. Newell and Simon (1972) conceptualised

problem solving as movement through a problem space from an initial state towards a goal state. My initial state involved university tasks alongside full-time employment, childcare and limited uninterrupted study time. My desired state was to complete assessments on time and to a good standard while continuing to meet my work and family responsibilities. Constraints included deadlines, working hours, childcare, fatigue and unpredictable demands.

This would improve on my original tendency to think simply that I did not have enough time. Instead, I could define the problem as: *How can I organise the study time available to me so that the necessary academic tasks are completed before their deadlines?* This does not increase the time available, but it makes possible solutions easier to identify.

I could then use means–ends analysis by identifying the difference between my current and desired states and creating subgoals that reduce this difference (Newell & Simon, 1972). Rather than viewing “complete a 2,000-word assignment” as one task, I could divide it into reading the brief, searching for literature, making notes, planning, drafting sections, editing, checking references and proofreading. Each completed subgoal would move me closer to the desired state. This provides a theoretical explanation for something I eventually discovered through experience: smaller tasks are easier to fit around my responsibilities than waiting for enough uninterrupted time to tackle an entire assignment.

Working backwards from assessment deadlines would make this even more systematic. If an assignment were due on Friday, I could reserve Thursday for proofreading, aim to complete the draft by Tuesday and use the previous weekend for substantial writing. Shorter weekday periods could then be used for reading, note-taking or referencing. Representing these tasks externally in a calendar would also make my progress and remaining workload visible.

This approach is consistent with research on implementation intentions. Gollwitzer and Sheeran (2006) found that specifying when, where and how goal-directed actions would occur improved goal attainment. Rather than vaguely intending to “work on my assignment this week”, I could decide that a particular weekday evening would be used to read two articles and a weekend period would be reserved for drafting. This would turn a broad intention into concrete actions. However, dividing work into subgoals does not automatically determine which task should take priority when several deadlines or responsibilities compete. I would still need to reassess my plan as circumstances changed rather than treating the original schedule as fixed.

Compared with my original reactive approach of fitting university work around other responsibilities whenever time became available, the module-informed approach would be more proactive. However, these strategies cannot remove the underlying constraints. Breaking an assignment into subgoals does not create additional hours, and working backwards cannot prevent unexpected childcare demands, work pressures or fatigue. An overly rigid plan could also create additional pressure when circumstances change, so effective problem solving requires flexibility as well as structure.

Reflecting on this experience has made me recognise that I had already begun using some effective problem-solving strategies before understanding their theoretical basis. Breaking work

into smaller parts and reserving substantial tasks for weekends resembles the use of subgoals and structured movement towards a goal state. The module has therefore not simply provided a new solution; it has helped me understand why my current approach is more effective and how I can apply it more deliberately in future. The module-informed approach gives me greater control over the aspects of the problem that can be managed while recognising that some constraints remain outside my control.

References

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